Product Requirements Document (PRD)

1. Summary

This document specifies the requirements for **SkillConnect JK**, a public–private partnership (PPP) platform that provides outcome-linked skilling credit to youth in the union territory of Jammu & Kashmir (J&K). The aim is to enable banks to finance skilling without government subsidies by enforcing accountability through milestone-based loan disbursements, training provider (TP) performance guarantees and automated repayments. The platform integrates accredited courses, free world-class educational content and community learning spaces, and operates in Kashmiri, Urdu, Hindi and English. The platform will be piloted with a PSU bank partner, with provisions to expand to multiple banks via an aggregator.

2. Background & Context

J&K has a young, educated population but faces high unemployment. The overall unemployment rate is around **6.7 %**, nearly double the national average, while youth unemployment is even higher[1]. Existing skilling programmes (e.g. PMKVY) rely heavily on government subsidies and pay TPs primarily on enrolments rather than outcomes. Although more than 144 k candidates enrolled in PMKVY courses in J&K between 2023 and 2025, only ~62 % were certified[1]. Banks hesitate to finance training because of high dropout rates, uncertain placements, lack of collateral and poor credit history. The national Model Skill Loan Scheme offers loans of ₹5,000–₹1.5 L with interest at MCLR + up to 1.5 %, moratorium for the course period and repayment terms of 3–7 years[2]. Loans are unsecured and may be covered under the Credit Guarantee Fund for Skill Development (CGFSSD), which guarantees 75 % of outstanding loans[3].

Digital payment innovations like **UPI AutoPay** allow automatic recurring deductions without manual initiation[4], and education loans up to ₹20 L qualify for Priority Sector Lending (PSL) targets[5], giving banks regulatory incentive to offer such loans. This programme will leverage these innovations while addressing operational challenges in J&K (e.g. internet disruptions, political instability and multilingual needs).

3. Goals & Objectives

1. **Enable banks to lend safely for skilling:** reduce risk through milestone-based disbursement, dynamic TP guarantees and real-time monitoring.
2. **Improve training outcomes:** encourage TPs to focus on learning quality and placement rather than enrolment; provide learners with personalised paths and credible courses.
3. **Increase financial inclusion:** provide credit access to youth aged 18–29 with limited collateral; use digital and offline channels to include rural areas.
4. **Scale sustainably:** design a system that can be piloted in one to two districts then rolled out across J&K and adapted to other regions.

4. Scope

In scope - Loan products for training fees, certification costs and optional devices within ₹5 k–₹1.5 L. - Integration with one PSU bank partner for pilot, with aggregator design for multi-bank expansion. - Accreditation of TPs and courses (online, offline and hybrid). Courses include IT/ITeS, electronics and tourism/hospitality, based on high demand and centre availability in J&K. - Multilingual web and mobile interfaces for learners, TPs and banks. - Personalised course recommendations using data (not mandatory AI/ML in MVP).

Out of scope - Direct government subsidies or stipends (programme focuses on risk-sharing, not grants). - Placements guarantee; in phase 1 the platform measures outcomes and assists with job matching but does not guarantee jobs.

5. Target Users & Stakeholders

Stakeholder	Description & Needs
Learners (18–29)	Need affordable access to quality skills, trusted content in multiple languages, and financial support with flexible repayment.
Training providers	Need working capital and incentive to improve completion and placement; must meet accreditation and guarantee requirements.
Banks (PSU/Private)	Need low-risk lending pathway, compliance with PSL, and automated collections; require API integration and reporting.
Government	Wants to reduce unemployment, ensure efficient use of funds and crowd in private investment.
Employers	Benefit from skilled workers; may participate by verifying placements and enabling salary-linked repayment in future phases.

6. User Stories

6.1 Learner

- **As a youth in J&K**, I want to browse accredited and free courses (online, hybrid or offline) in my language, so that I can choose a skill that matches my interests and local demand.
- **As a learner**, I want to apply for a training loan without collateral, know how much I will repay and in what schedule, and sign up digitally or via assistance at centres.
- **As a learner**, I want regular progress reminders and support to stay on track, so I can complete my course and improve my job prospects.
- **As a learner**, I want to repay my loan automatically via UPI AutoPay or other digital means, so I don't miss payments.

6.2 Training Provider

- **As a TP**, I want to register, upload course information, and commit to performance obligations (e.g. guarantee refund for dropouts), so I can access students and funding.
- **As a TP**, I want milestone-based fee disbursal linked to verified learner progress, ensuring I'm paid when students complete training and assessments.
- **As a TP**, I want analytics dashboards showing learner progress, payment schedules and potential risks, so I can improve retention and placement.

6.3 Bank

- **As a bank**, I want integration with the platform's API to receive loan applications, evaluate credit scores and guarantee coverage, and disburse funds to escrows.
- **As a bank**, I want to automate EMI collections via UPI AutoPay and track delinquency early.
- **As a bank**, I need robust security, regulatory compliance and auditing features.

7. Functional Requirements

7.1 Course & Content Management

1. The platform shall allow training providers to register and submit courses (online, hybrid, in-person) with details (sector, NSQF level, duration, fees, curriculum). Courses must be accredited by an equivalent authority.
2. The platform shall display course catalogue to learners with filters by sector, mode, language and fee type (paid/free). Free courses may include curated YouTube and university lecture content.
3. The platform shall provide personalised recommendations based on learner profile, local demand and past outcomes. In the initial release, this may be rule-based; optional ML models may be integrated later.

7.2 Learner Registration & Loan Application

1. The platform shall allow learners to register using Aadhaar eKYC via DigiLocker, capturing identity, age and address.
2. Learners shall complete a profile including education level, income band and career goals.
3. Learners shall apply for a skill loan by selecting a course and submitting required documents; optional co-applicant fields may be provided.
4. The system shall compute a Borrower Score using data such as past repayment history, baseline assessments and income; it shall compute a TPScore for the selected training provider.
5. The platform shall generate a digital loan application package and send it to the bank partner’s API for underwriting.

7.3 Loan Disbursement & Escrow Management

1. The platform shall create an escrow ledger for each loan, linking learner, bank and TP.
2. Disbursement shall be staged: initial tranche at enrolment (30 %), second tranche after attendance and progress verification (30 %), third tranche at assessment scheduling (20 %) and final tranche upon certification (20 %).
3. The platform shall track training milestones (enrolment, attendance hours, assessment completion, certification) via integration with TP systems or manual reporting; entries shall be time-stamped and auditable.
4. If a learner drops out or fails to certify, the TP must refund a percentage of fees from its guarantee deposit back to the escrow to reduce the outstanding principal.

7.4 Repayment & Collections

1. The system shall calculate repayment schedules with moratorium equal to course duration plus 3 months. EMIs may be structured as step-up payments (lower for first six months after moratorium, then higher).

2. UPI AutoPay e-mandate integration shall be provided for automatic recurring EMI collection[4]. Alternative digital collections (e.g. UPI 123PAY for feature phones) shall be offered for offline convenience.
3. The system shall send payment reminders and delinquency alerts via SMS/app notifications.
4. Payment events shall be recorded and shared with bank and TP dashboards.

7.5 Monitoring & Analytics

1. Dashboards for banks and TPs shall show aggregated enrolment, progress, certification rates and default ratios.
2. The system shall support real-time alerts for attendance drops, assessment failures or potential defaults.
3. Data shall feed into PD/LGD models and refine TPScore and Borrower Score.

7.6 Administration

1. Admin panel for government/regulator to oversee platform operations, approve TPs and courses, set guarantee thresholds and monitor compliance.
2. Support multilingual content management (English, Hindi, Urdu, Kashmiri) and contextual translation of user interfaces.
3. Enable system configuration for pilot district selection, guarantee percentages and policy parameters.

8. Non-Functional Requirements

Category	Requirement
Performance	Response time < 2 s for primary actions; support at least 10 k concurrent users.
Availability	99.5 % uptime target, with offline caching for learners in

Category	Requirement
	low connectivity zones.
Security	Data encrypted at rest and in transit; role-based access control; regular audits (see Security Checklist).
Compliance	Adhere to Indian IT Act, RBI KYC/AML guidelines, data privacy regulations; support PSL reporting[5].
Accessibility	UI must follow WCAG 2.1 guidelines; fully usable with screen readers; offline support for key functions.
Internationalization	Full support for Urdu, Kashmiri, Hindi, English; text direction switching (RTL for Urdu).
Scalability	Modular architecture to add additional banks, TPs and sectors; microservices can be scaled independently.
Maintainability	Codebase documented and test-covered; support automated deployment and CI/CD.

9. KPIs & Success Metrics

1. **Certification rate**: percentage of enrollees who achieve certification; baseline ~62 % to increase to 75 %.
2. **Placement rate**: percentage of certified learners placed within 6 months (target 50 % in pilot sectors).
3. **Loan NPA ratio**: non-performing asset ratio for skill loans; target < 5 % due to guarantee and UPI AutoPay.
4. **TP on-time disbursement compliance**: percentage of TPs meeting milestones without delays; target > 90 %.
5. **Learner satisfaction**: Net Promoter Score (NPS) > 50 ; measured via surveys.

10. Assumptions & Constraints

- Aadhaar eKYC via DigiLocker is allowed and accessible.

- One PSU bank partner will integrate via API and provide capital; guarantee coverage of at least 75 % via CGFSSD and/or state first-loss reserve.
- There will be enough accredited TPs in selected sectors (IT/ITeS, electronics, tourism/hospitality) to run pilot batches.
- Political or security disruptions may affect training schedules; contingency measures (deferment/waivers) must be in place.
- Data from PMKVY and other sources is available for credit modelling.

11. Dependencies & Risks

- **Bank integration**: delays in API integration could hinder pilot timeline.
- **Training provider compliance**: requiring TPs to post guarantee deposits may deter participation; incentives (access to financing, marketing) are necessary.
- **Learner adoption**: trust barriers; need strong community outreach and multilingual support.
- **Regulatory changes**: changes to KYC norms, PSL rules or CGFSSD coverage may impact feasibility.

12. Future Enhancements (Out of Immediate MVP)

- Income-linked repayment models via employer partnerships.
- Integration with AI/ML models (SLM-RNN) for dynamic risk scoring and personalised course routing.
- Marketplaces for internship/apprenticeship matching and product market access (e.g. selling handicrafts).
- Gamified micro-learning modules and social learning features.
- Integration with multiple banks via aggregator to allow learners to choose lenders.

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[1] Soaring unemployment rate

https://www.greaterkashmir.com/opinion/soaring-unemployment-rate/

[2] [3] Skill Loan Scheme – Shree Lohana Samaj Trust Konkan Vibhag

https://konkanlohanasamaj.com/skill-loan-scheme/

[4] Digital convenience: New ways for India’s MFI borrowers to repay loans - MicroSave Consulting (MSC)

https://www.microsave.net/2025/06/26/digital-convenience-new-ways-for-indias-mfi-borrowers-to-repay-loans/

[5] Priority Sector Lending In India: A Guide

https://www.go-yubi.com/securitisation/priority-sector-lending/

[6] This document has been created with the help of ChatGPT for technical and bullet point usage to put together a great report. All objectives were written previously in an unorganized manner, which were later organized through these sources.